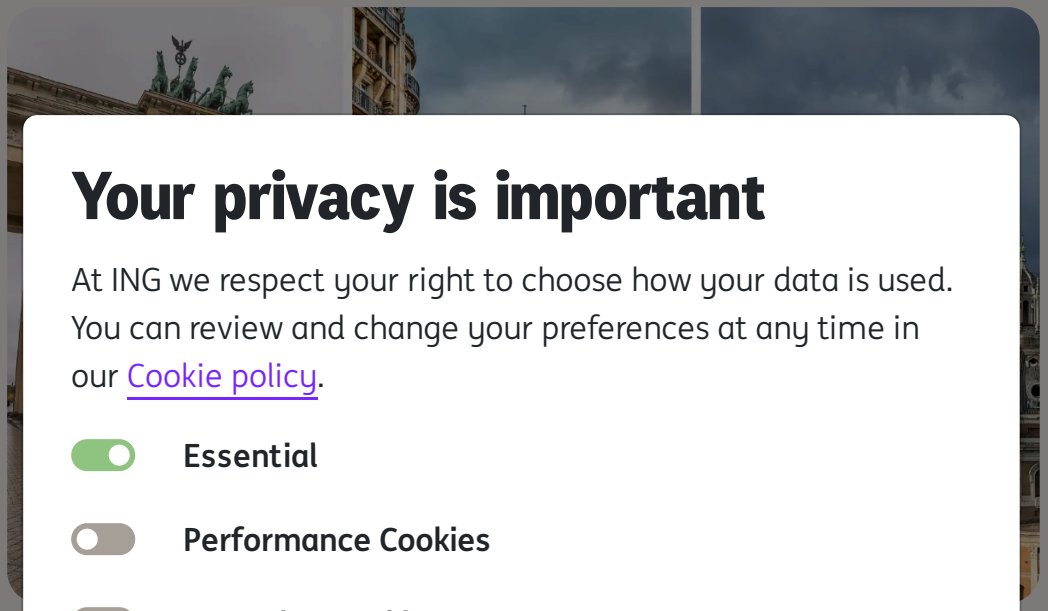
Germany, France and Italy face a subdued outlook in 2027, with fiscal policy and politics playing a key role





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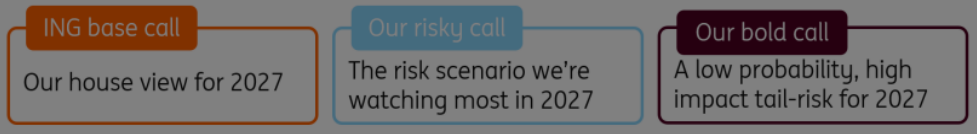
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Germany: Politics vs economy – round two

2026 was the year of unexpected resilience, despite a continuing struggle to decide and actually implement structural reforms. Still, the economy delivered its strongest growth outcome since 2022, driven chiefly by longer-term fiscal support for defence and

infrastructure. Some of the industrial momentum should carry over into 2027, as will fiscal stimulus.

The main question, however, is whether fiscal stimulus will once again be enough to offset the lack of competitiveness-enhancing reforms. Whether the government can implement already announced reforms, enact further-reaching reforms to reduce bureaucracy and taxes and develop a longer-term strategy for affordable energy will determine whether the current rebound could actually turn into a recovery. For now, we expect 2027 growth to come in at around 1%.

France: Weak growth keeps the fiscal p

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presidential election and possibly beyond as parliamentary elections are likely to follow. Given the high likelihood that no stable majority will emerge, the risk premium on French bonds will likely remain elevated in the first half of 2027.

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Italy: Growth set to decelerate, notwithstanding a mildly expansionary budget

Italy's economy should continue to grow in 2027, but at a slower pace. Domestic demand will remain the key driver, despite higher policy rates, elevated inflation and the recovery plan's expiry. Unless energy prices turn lower soon, inflation is likely to stay

above 5% in the first quarter, squeezing purchasing power. Resilient employment will only partly cushion household disposable income. On the investment front, the recovery plan's expiry is likely to slow infrastructure investment, but not trigger a collapse. The latest revisions allow some projects to be deferred through dedicated financial vehicles.

With parliamentary elections due in 2027, most likely in late spring or early summer, the government is temporarily shifting fiscal policy to a very mildly expansionary stance. The budget, now before parliament, uses part of the national escape clause's flexibility for defence and energy, helping to cushion the growth slowdown ahead of the vote.

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